Government debt to hit $1 trillion as soon as September



Michael Read

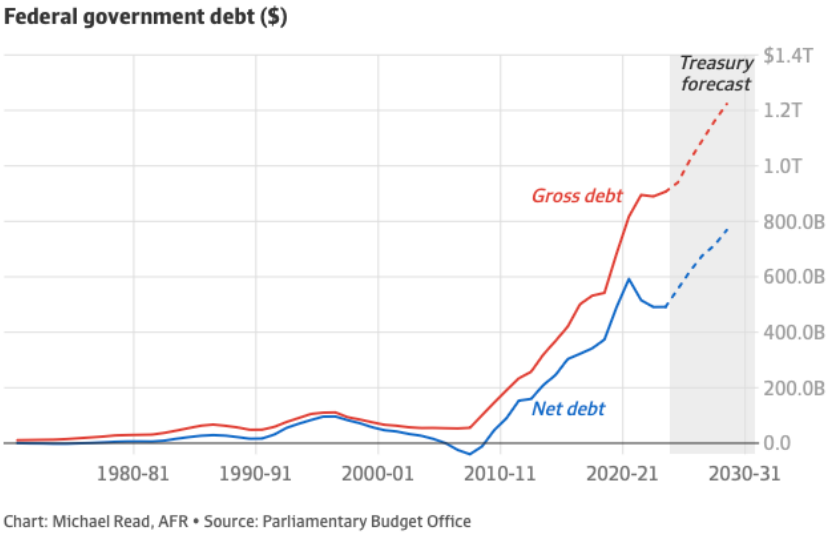
Economics correspondent

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Federal government debt is predicted to hit $1 trillion as soon as September, as economists urge the re-elected Albanese government to prioritise getting the budget in order or else risk losing the nation's AAA credit rating.

Putting the government's finances back on a sustainable fiscal trajectory was not a focus of either Labor or the Coalition during the recent election campaign, as both Prime Minister Anthony Albanese and Opposition Leader Peter Dutton sought to woo voters with tens of billions of dollars in spending promises.

The federal government currently owes bondholders $929.1 billion, according to the Australian Office of Financial Management, but Treasury predicts that figure will continue to rise for the foreseeable future as the budget remains mired in deficit.



Jarden chief economist Micaela Fuchila predicts gross debt will hit $1 trillion in either September 2025 or October 2025, given the AOFM was likely to front-load its $150

billion planned bond issuance for the next 12 months early in the upcoming financial year.

However, Fuchila stressed that her estimate was subject to considerable uncertainty, including the possibility of better-than-expected revenue from higher commodity prices and the rise of so-called “off-budget” spending.
AMP chief economist Shane Oliver lashed the expensive campaign pledges made by both major parties. “All we got was Band-Aid solutions and a spendathon of promises starting in January, with little to boost living standards, get the budget back in balance and meet the fundamental challenges to global trade posed by Trump,” he said.

Rising debt will force future federal governments to spend an increasing share of their budgets on interest instead of services such as health and education. Without efforts to plug the deficit, the debt will ultimately need to be repaid by future generations through higher taxes or cuts to government services.

Asked about the debt projections, Treasurer Jim Chalmers said responsible economic management was the hallmark of the Albanese government’s first term and would continue to be a central focus in the second term.

“In less than a term, we’ve got the debt down, we’ve delivered two surpluses when our predecessors delivered none, and we’re on track to deliver lower deficits,” he said.

Treasury predicted in March the federal government would post a headline budget deficit of $65.2 billion in 2025-26, which would be the largest deficit in dollar terms outside the pandemic.

Net debt, which excludes the value of financial assets like the Future Fund, was on track to rise to $556 billion by June, Treasury said.

Credit ratings agency S&P Global warned last week that debt-funded election spending was risking the nation’s prized AAA credit rating.

S&P accused the Albanese government of hiding the full extent of the fiscal deterioration through $104 billion of so-called “off-budget” spending for items such as the National Broadband Network, Snowy Hydro, Clean Energy Finance Corporation, National Reconstruction Fund, Housing Australia and Labor’s pledge to waive $16 billion of student loans.

Matt Nolan and Lachlan Vass, economists at the e61 Institute think tank, said Australia was not on a sustainable fiscal path.

“With population ageing expected to accelerate through the late 2030s, fertility on the decline, and both major parties seeking to pull back on young migrants, the upward pressure on deficits and interest payments will simply get worse,” they said.

The pair said the federal government needed to consider reforms including increasing and broadening the GST, reining in “middle-class welfare” such as private school and childcare subsidies for high-income households, and more closely co-ordinating revenue and spending responsibilities between the states and the federal government.

“In this reality, the next government must be willing to make the case for why those with the means should lose now, in order to prevent greater harm to future generations,” Vass and Nolan said.

“If policymakers don’t have this discussion, it is those that are not visible – low-income households and future generations – who end up losing instead.”

Australia’s state and federal government debt has risen rapidly since the global financial crisis, though it still remains low by global standards.

Since 2008, federal government gross debt has risen from 5 per cent of GDP to 34 per cent of GDP, according to Treasury.

Including state government debt, which has grown rapidly since the pandemic, the International Monetary Fund in April estimated Australia’s gross debt was 50.9 per cent of GDP, compared with the advanced economy average of 110 per cent.

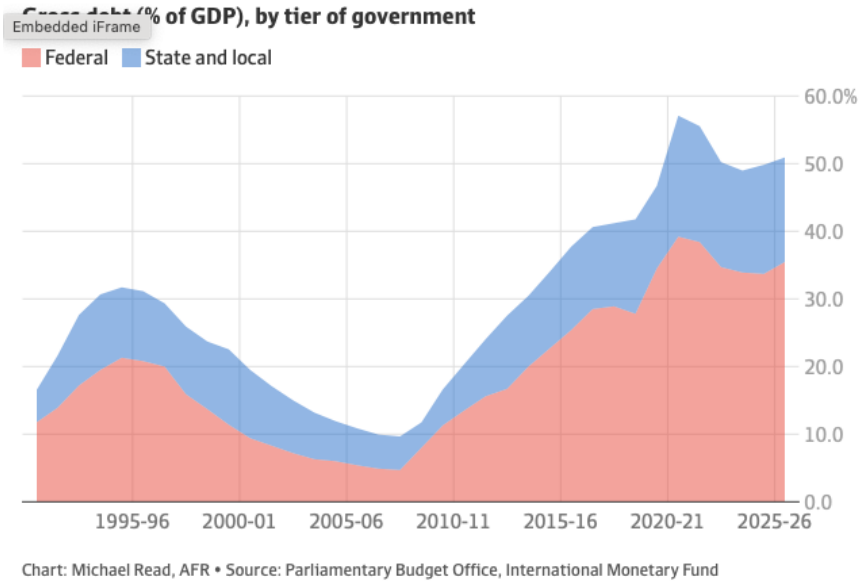


Chart: Michael Read, AFR • Source: Parliamentary Budget Office, International Monetary Fund

AMP’S Oliver called for a new set of fiscal rules to govern the budget, including capping public spending and tax as a share of GDP and a commitment to cutting the deficit.

“The government has been lucky with a $350 billion revenue windfall on the back of a strong jobs market and high commodity prices,” Oliver said.

“But an increasing proportion of this is translating into record public spending leading to higher than otherwise inflation and interest rates.

“Structural spending pressures around the NDIS, health, aged care, defence and public debt interest are now taking the budget back into deficit when public debt is already high. They need to be checked and offset by savings.”

Oliver said losing the AAA credit rating would become a risk if the revenue windfall reversed, even though it was unlikely at present.

Treasury predicted in March federal government spending would hit 27 per cent of GDP next financial year, which would be a record outside the pandemic.

NAB chief economist Sally Auld said government spending was likely to continue rising as a share of the economy over the next three years.

“This dynamic towards bigger government is consistent with the notion of regime change, where we have transitioned from a multi-decade economic and political regime based on free trade and free markets to one where the role of government is bigger and broader than was the case in the prior regime,” Auld said.

“The public sector debt burden will continue to rise.”

Source: https://www.afr.com/policy/economy/government-debt-to-hit-1-trillion-as-soon-as-september-20250507-p5lx6i